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Light Cycle Oil in Asia

Omani supply in 2026: the product, the origin, the market, cargo economics and risks

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Data as of 1 October 2026



SUMMARY

Four points to remember



PRODUCT

A refinery distillate

Made in FCC units; used for blending and as feedstock



ORIGIN

Oman, outside Hormuz

Export refineries at Sohar and Duqm



MARKET

Asia leads demand

Diesel blending, carbon black, marine fuel



PRICING

Linked to distillates

Usually priced against Singapore gasoil or fuel oil

Why it matters: with the Strait of Hormuz disrupted in 2026, supply loaded outside the Strait has gained strategic value for Asian buyers.

What is Light Cycle Oil?

Definition: LCO is a middle distillate produced by fluid catalytic cracking (FCC) units in refineries. It is rich in aromatics and valued as a blending component and as a feedstock.



Typical specification

- API gravity: 18-26°
- Sulphur: 0.3-2.5% wt
- Aromatics: 60-80%
- Distillation: 220-370 °C
- Cetane index: 20-35



Main uses

- Diesel and gasoil blending
- Carbon black feedstock
- Marine fuel blending
- Aromatics extraction
- Petrochemical feedstock



Market position

- Priced against gasoil or fuel oil
- Asia is the main demand hub
- Low-sulphur grades fit 0.5% S marine blends (IMO 2020)
- Value depends on sulphur and aromatics

Oman: a stable supplier outside the Strait

Outside

the Strait of Hormuz

Ports on the Gulf of Oman and the Arabian Sea

≈ 1 mb/d

oil output

Crude and condensates

BBB-

investment grade

S&P (affirmed Mar 2026); Fitch (Dec 2025)

Export refining: Oman refines for export at Sohar, on the Gulf of Oman, and at Duqm, on the Arabian Sea; both sit outside the Strait.

Sanctions status: Oman is not subject to US, EU or UN sanctions; each cargo still goes through counterparty screening.

Route to Asia: direct sailing to Singapore, India, China, Korea and Japan without transiting Hormuz.

Reading note: ratings and output figures are as of the dates shown; check current values before any transaction.

Why Omani supply matters in 2026



Hormuz risk

The Strait was closed from mid-March to April 2026 and traffic fell sharply again in September. Omani load ports avoid the chokepoint.



Asian demand

Asia is the main market for LCO: diesel blending, carbon black feedstock and marine fuel blending.



Price environment

Brent stood at about \$102 a barrel on 29 September 2026, up 55% in a year; distillate values follow.



Supply security

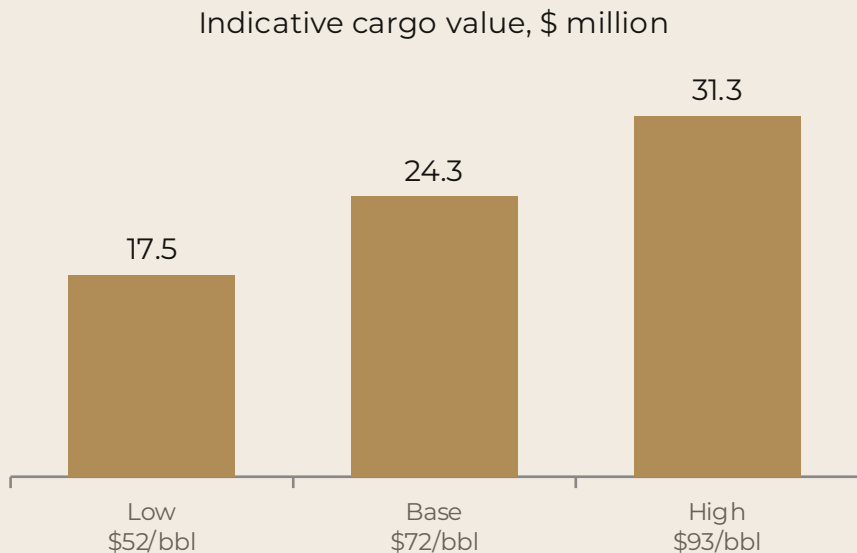
Other bypass routes exist (UAE via Fujairah, Saudi Arabia via Yanbu), but the Saudi East-West pipeline was hit in September. Diversifying origins reduces risk.

How LCO cargoes are typically traded

Incoterms	FOB at the load port, or CFR/CIF to an Asian port
Cargo size	From part cargoes to full tankers; 50,000 t is used as the reference in this note
Pricing	Platts Singapore gasoil or fuel oil, $\pm$ a differential reflecting sulphur and aromatics; pricing period set per cargo
Payment	Irrevocable documentary L/C at sight from a highly rated bank, especially with new counterparties
Inspection	Independent inspector (SGS, Bureau Veritas or equivalent) at the load port
Documents	Bill of lading, certificates of quality and origin, inspection report
Law	English law and London arbitration are common in Asian distillate trade

Good practice: a full spec sheet before any commitment, a pre-shipment sample, and no advance payment outside a documentary credit.

What a 50,000-tonne cargo is worth



337,000

barrels in a 50,000-tonne cargo

- Conversion: 6.73 barrels per tonne (API $\approx$ 20)
- LCO prices of \$52, \$72 and \$93 a barrel illustrate low, base and high markets
- Value = barrels $\times$ price; freight, insurance and fees excluded

Caveat: illustrative values, not a price offer or a return projection. The barrel count depends on the cargo's density.

Risks for buyers and how to manage them

Risk	Level	Factor	Mitigation
Geopolitical	High	Gulf conflict, Hormuz disruption	Load ports outside the Strait; war-risk cover priced into freight
Price	Medium	Distillate price swings	Differential fixed at contract; hedging via gasoil swaps or futures
Quality	Medium	Sulphur and aromatics vary by cargo	Spec sheet, pre-shipment sample, independent load-port inspection
Counterparty	Low	Buyer default, L/C discrepancies	L/C at sight from an A- bank; documents checked before loading
Compliance	Low	Sanctions, origin, AML	KYC and OFAC/EU/UN screening; certificate of origin
Logistics	Medium	Freight rates, vessel availability	Vessel nomination and laycan agreed in advance

Six practical implications



Diversify origins

Add supply loaded outside the Strait of Hormuz.



Verify quality

Insist on a spec sheet and load-port inspection.



Secure payment

Use a documentary L/C at sight; avoid advances.



Screen counterparties

KYC, sanctions lists and origin documents.



Fix the pricing basis

Agree the benchmark and pricing period upfront.



Choose a clear contract

English law and recognised arbitration.

KEY TAKEAWAYS

A niche product with strategic value

1

A versatile distillate

LCO serves diesel blending, carbon black and marine fuels; its value depends on sulphur and aromatics.

2

A secure origin

Omani export refineries load outside the Strait of Hormuz, a real advantage in 2026.

3

Large cargo values

A 50,000 t cargo is worth roughly \$17-31 m, so payment security matters.

4

Discipline pays

Inspection, documentary credit, sanctions screening and clear contracts limit the risks.

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